2 The Recording Process

Learning Objectives

1. Describe how accounts, debits, and credits are used to record business transactions.
2. Indicate how a journal is used in the recording process.
3. Explain how a ledger and posting help in the recording process.
4. Prepare a trial balance.

LEARNING OBJECTIVE **1**

Describe how accounts, debits, and credits are used to record business transactions.

The Account

- Record of increases and decreases in a specific asset, liability, owners' equity, revenue, or expense item.
- Debit = "Left"
- Credit = "Right"

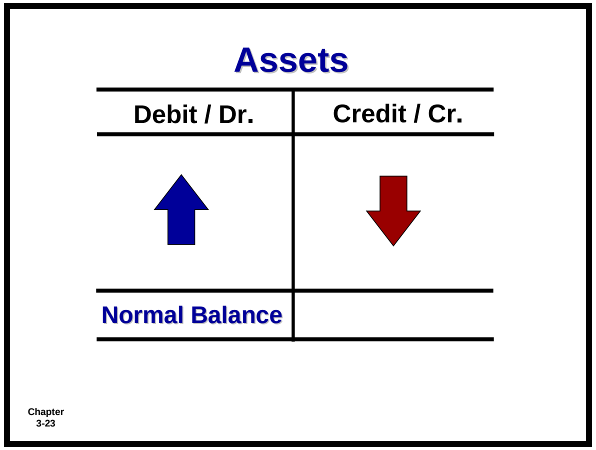
The Account

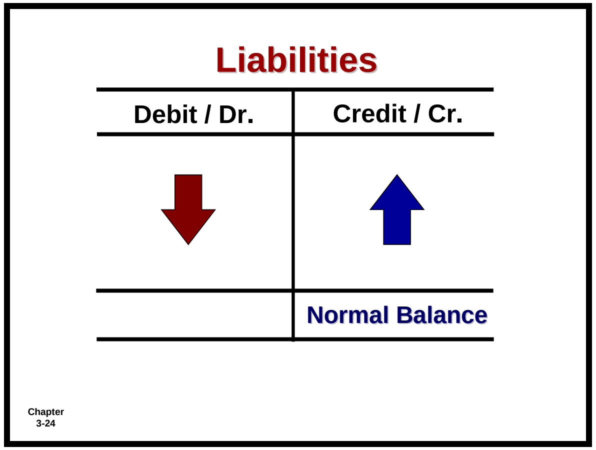
DEBIT AND CREDIT PROCEDURES

Double-entry system

- Each transaction must affect two or more accounts to keep the basic accounting equation in balance.
- Recording done by debiting at least one account and crediting at least one other account.
- **DEBITS must equal CREDITS**.

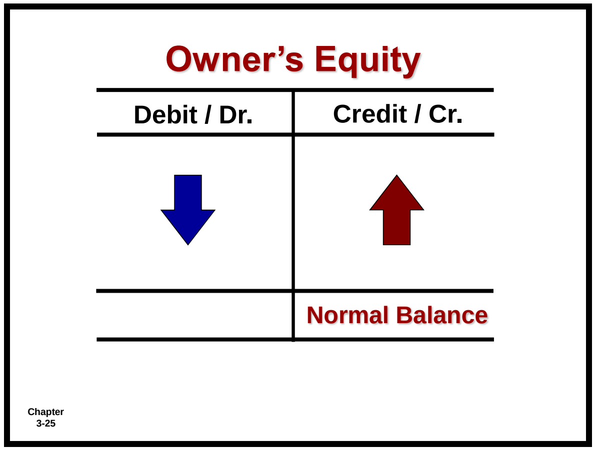
Debits and Credits



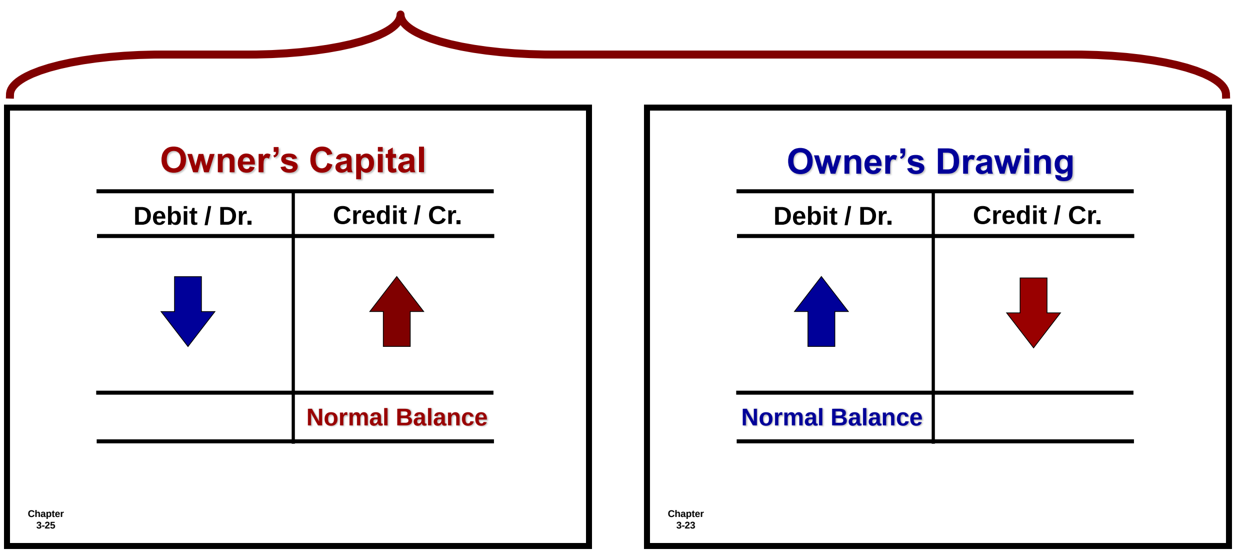


- **Assets** - Debits should exceed credits.
- **Liabilities** – Credits should exceed debits.
- **Normal balance** is on the increase side.

Debits and Credits

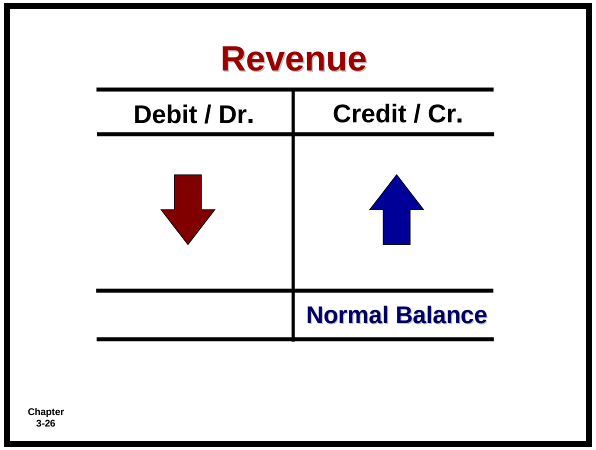


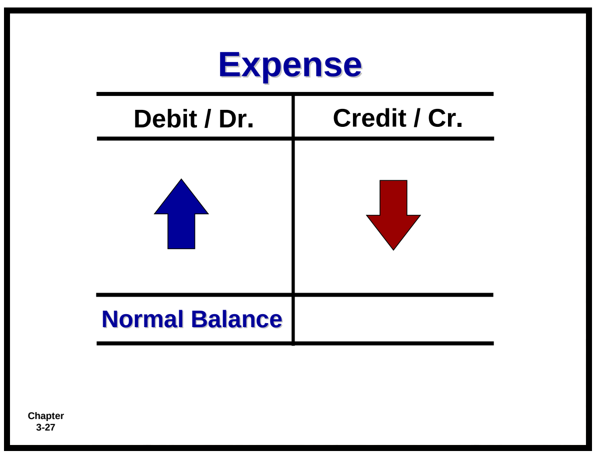
- **Owner's investments** and **revenues** increase owner's equity (credit).
- **Owner's drawings** and **expenses** decrease owner's equity (debit).



Helpful Hint Because revenues increase owner's equity, a revenue account has the same debit/credit rules as the Owner's Capital account. Expenses have the opposite effect.

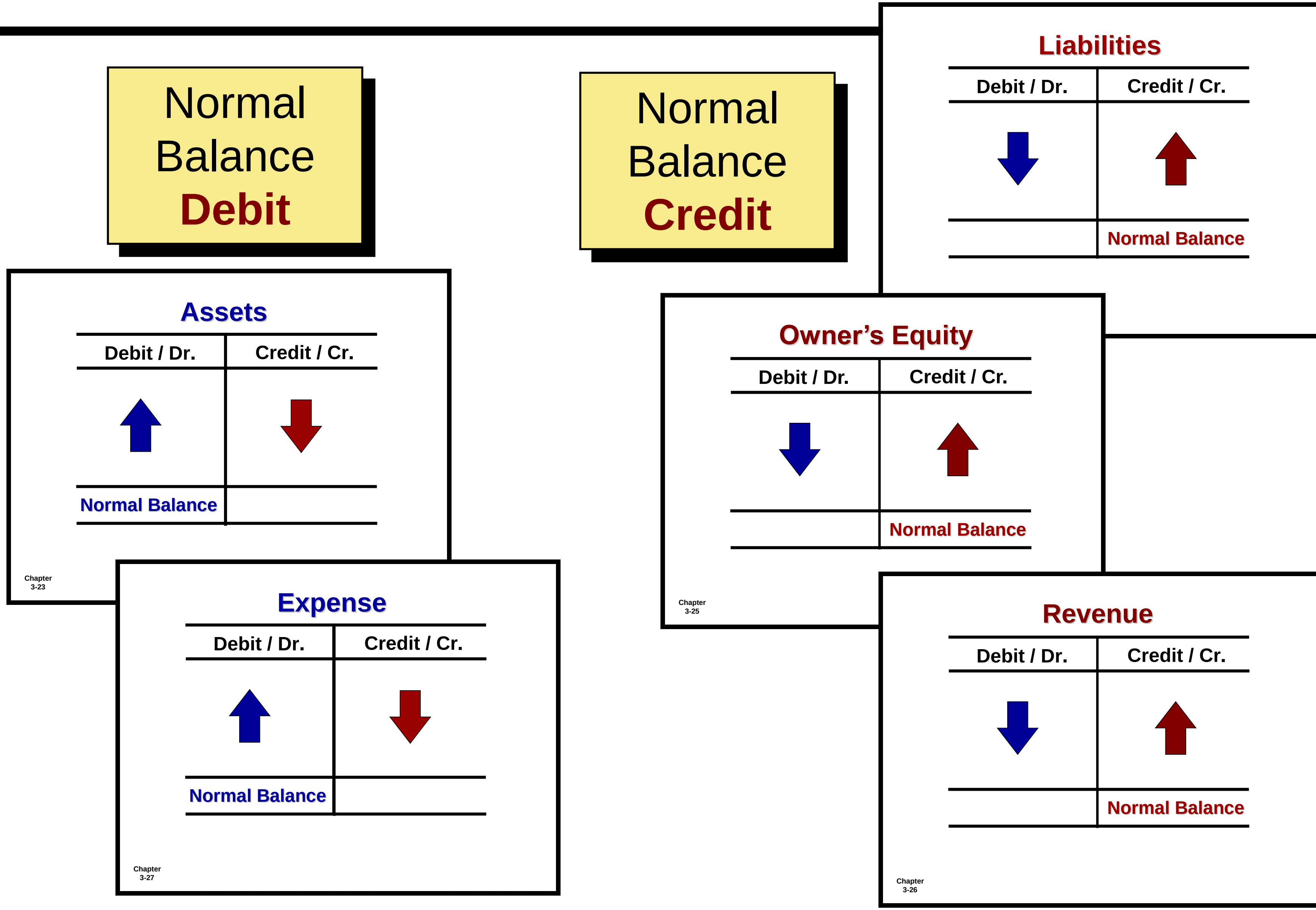
Debits and Credits





- The purpose of earning **revenues** is to benefit the owner(s).
- The effect of debits and credits on revenue accounts is the **same as** their effect on Owner's Capital.
- **Expenses** have the opposite effect: expenses decrease owner's equity.

Debits/Credits Rules



LO 1

Debits/Credits Rules

	Balance Sheet			Income Statement	
	Asset =	Liability +	Equity	Revenue -	Expense
Debit	↑	↓	↓	↓	↑
Credit	↓	↑	↑	↑	↓

Debits/Credits Rules

Question

Debits:

a. increase both assets and liabilities.

b. decrease both assets and liabilities.

c. increase assets and decrease liabilities.

d. decrease assets and increase liabilities.

Debits/Credits Rules

Question

Accounts that normally have debit balances are:

a. assets, expenses, and revenues.

b. assets, expenses, and equity.

c. assets, liabilities, and owner's drawing.

d. assets, owner's drawing, and expenses.

Summary of Debit/Credit Rules

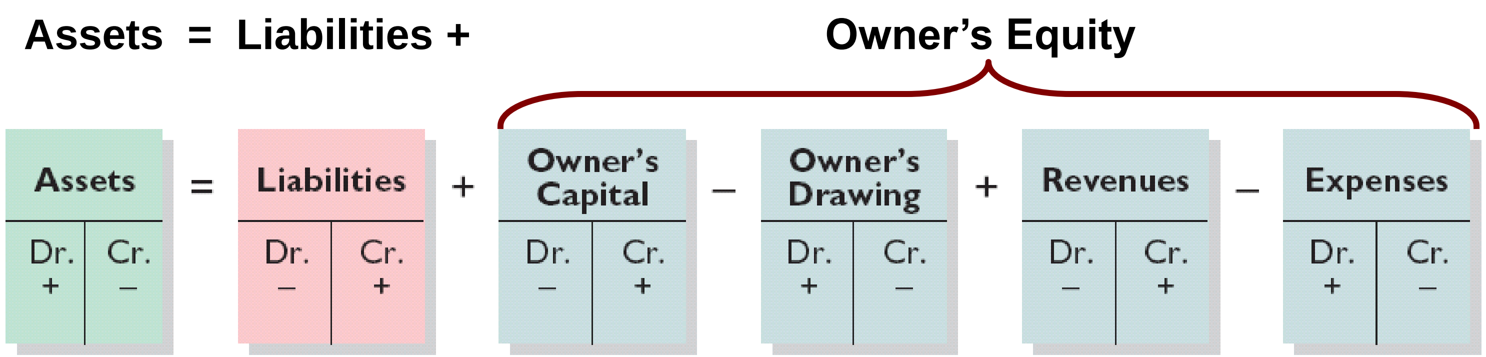
Relationship among the assets, liabilities and owner's equity of a business:

Illustration 2-11

Basic Equation

Expanded Equation

Debit/Credit Effects



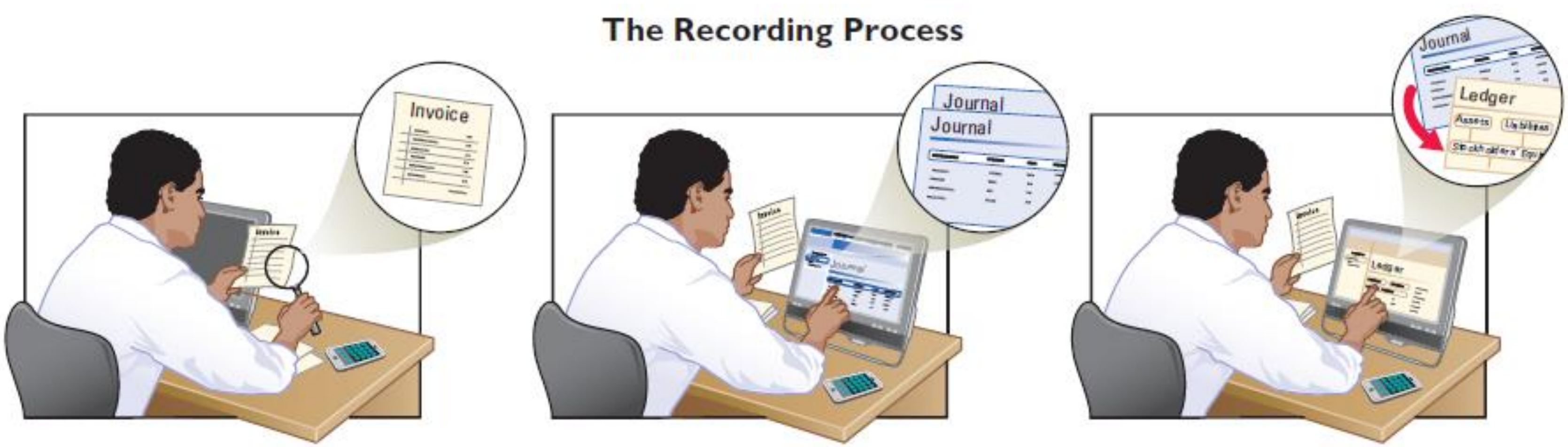
The equation must be in balance after every transaction. Total **Debits** must equal total **Credits**.

LEARNING OBJECTIVE 2

Indicate how a journal is used in the recording process.

Steps in the Recording Process

Illustration 2-12



Analyze each transaction | Enter transaction in a journal | Transfer journal information to ledger accounts

Business documents, such as a sales slip, a check, or a bill, provide evidence of the transaction.

Steps in the Recording Process

The Journal

- Book of original entry.
- Transactions recorded in chronological order.
- Contributions to the recording process:

  1. Discloses the **complete effects of a transaction**.
  2. Provides a **chronological record** of transactions.
  3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared.

Steps in the Recording Process

JOURNALIZING - Entering transaction data in the journal.

Illustration: On September 1, Ray Neal invested $15,000 cash in the business, and Softbyte purchased computer equipment for $7,000 cash.

Illustration 2-13

GENERAL JOURNAL				
Date	**Account Title**	**Ref.**	**Debit**	**Credit**
Sept. 1	Cash		15,000	
	Owner's Capital			15,000
	Equipment		7,000	
	Cash			7,000

Steps in the Recording Process

SIMPLE AND COMPOUND ENTRIES

Illustration: On July 1, Butler Company purchases a delivery truck costing $14,000. It pays $8,000 cash now and agrees to pay the remaining $6,000 on account.

Illustration 2-14
Compound journal entry

GENERAL JOURNAL				
Date	**Account Title**	**Ref.**	**Debit**	**Credit**
July 1	Equipment		14,000	
	Cash			8,000
	Accounts payable			6,000

DO IT! 2 Recording Business Activities

Kate Browne engaged in the following activities in establishing her salon, Hair It Is:

1. Opened a bank account in the name of Hair It Is and deposited $20,000 of her own money in this account as her initial investment.

2. Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.

3. Interviewed three persons for the position of hair stylist.

Prepare the entries to record the transactions.

DO IT! 2 Recording Business Activities

Prepare the entries to record the transactions.

1. Opened a bank account and deposited $20,000.

Cash	20,000	
Owner's Capital		20,000

2. Purchased equipment on account (to be paid in 30 days) for a total cost of $4,800.

Equipment	4,800	
Accounts Payable		4,800

3. Interviewed three persons for the position of hair stylist.

No entry

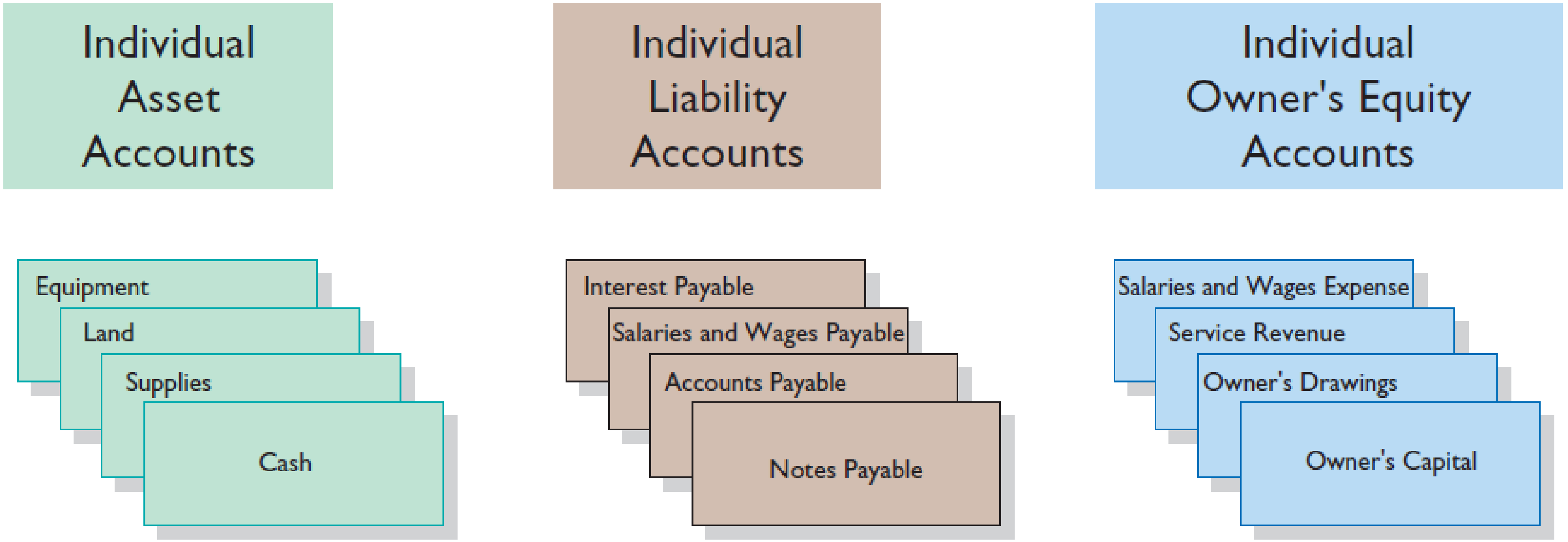
LEARNING OBJECTIVE 3

Explain how a ledger and posting help in the recording process.

The Ledger

- **General Ledger** contains all the asset, liability, and owner's equity accounts.

Illustration 2-15



The Ledger

STANDARD FORM OF ACCOUNT

Illustration 2-16
Three-column form of account

CASH					NO. 101
Date	**Explanation**	**Ref.**	**Debit**	**Credit**	**Balance**
2017					
June 1			25,000		25,000
2				8,000	17,000
3			4,200		21,200
9			7,500		28,700
17				11,700	17,000
20				250	16,750
30				7,300	9,450

Ledger

POSTING

Transferring journal entries to the ledger accounts.

GENERAL JOURNAL				J1
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
2017 Sept. 1	Cash	101	15,000	
	Owner's Capital	301		15,000
	(Owner's investment of cash in business)			

GENERAL LEDGER

Cash					No. 101
Date	**Explanation**	**Ref.**	**Debit**	**Credit**	**Balance**
2017 Sept. 1		J1	15,000		15,000

Owner's Capital					No. 301
Date	**Explanation**	**Ref.**	**Debit**	**Credit**	**Balance**
2017 Sept. 1		J1		15,000	15,000

Key:
1. Post to debit account–date, journal page number, and amount.
2. Enter debit account number in journal reference column.
3. Post to credit account–date, journal page number, and amount.
4. Enter credit account number in journal reference column.

Illustration 2-17
Posting a journal entry

Posting

Question

Posting:

a. normally occurs before journalizing.

b. transfers ledger transaction data to the journal.

c. is an optional step in the recording process.

d. transfers journal entries to ledger accounts.

Chart of Accounts

Illustration 2-18

PIONEER ADVERTISING
Chart of Accounts

Assets	Owner's Equity
101 Cash	301 Owner's Capital
112 Accounts Receivable	306 Owner's Drawings
126 Supplies	350 Income Summary
130 Prepaid Insurance	
157 Equipment	**Revenues**
158 Accumulated Depreciation—Equipment	400 Service Revenue
Liabilities	**Expenses**
200 Notes Payable	631 Supplies Expense
201 Accounts Payable	711 Depreciation Expense
209 Unearned Service Revenue	722 Insurance Expense
212 Salaries and Wages Payable	726 Salaries and Wages Expense
230 Interest Payable	729 Rent Expense
	732 Utilities Expense
	905 Interest Expense

The Recording Process Illustrated

Follow these steps:

1. Determine what type of account is involved.
2. Determine what items increased or decreased and by how much.
3. Translate the increases and decreases into debits and credits.

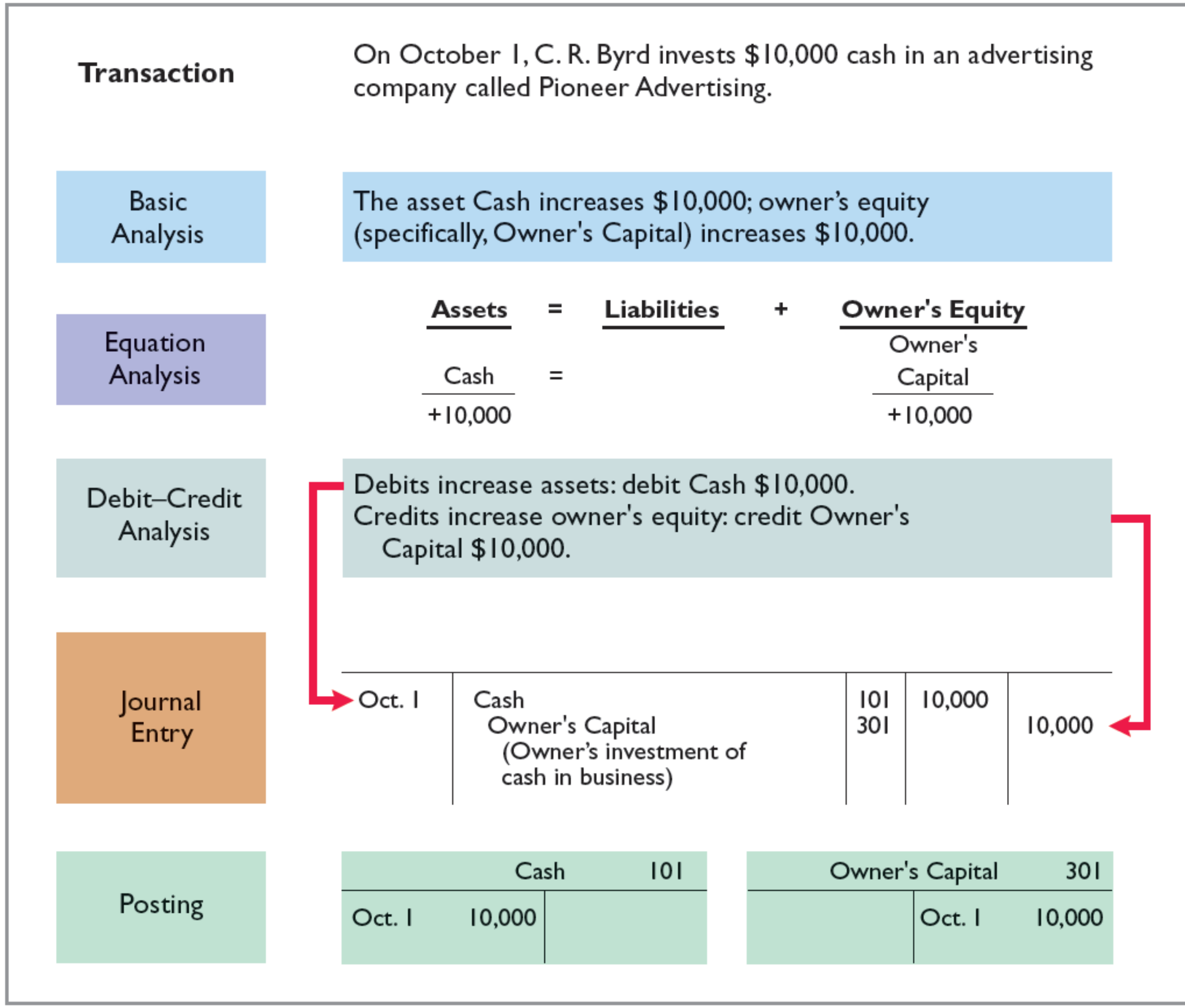


Illustration 2-19

Transaction

On October 1, Pioneer purchases office equipment costing $5,000 by signing a 3-month, 12%, $5,000 note payable.

Basic Analysis

The asset Equipment increases $5,000; the liability Notes Payable increases $5,000.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Equipment	=	Notes Payable		
+5,000		+5,000		

Debit–Credit Analysis

Debits increase assets: debit Equipment $5,000.
Credits increase liabilities: credit Notes Payable $5,000.

Journal Entry

Oct. 1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			

Posting

Equipment 157

Oct. 1	5,000	

Notes Payable 200

	Oct. 1	5,000

Illustration 2-20
Purchase of office equipment

Illustration 2-21
Receipt of cash for future service

Transaction

On October 2, Pioneer receives a $1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.

Basic Analysis

The asset Cash increases $1,200; the liability Unearned Service Revenue increases $1,200 because the service has not been performed yet. That is, when Pioneer receives an advance payment, it should record an unearned revenue (a liability) in order to recognize the obligation that exists. Note also that although most liabilities have the word "payable" in their title, unearned revenue is considered a liability because the liability is satisfied by providing a product or performing a service.

Equation Analysis

Assets	=	Liabilities	+	Owner's Equity
Cash	=	Unearned Service Revenue		
+1,200		+1,200		

Debit–Credit Analysis

Debits increase assets: debit Cash $1,200.
Credits increase liabilities: credit Unearned Service Revenue $1,200.

Journal Entry

Oct. 2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			

Posting

Cash			101
Oct. 1	10,000		
2	1,200		

Unearned Service Revenue			209
		Oct. 2	1,200

Transaction	On October 3, Pioneer pays office rent for October in cash, $900.
Basic Analysis	The expense account Rent Expense increases $900 because the payment pertains only to the current month; the asset Cash decreases $900.
Equation Analysis	see below
Debit–Credit Analysis	Debits increase expenses: debit Rent Expense $900. Credits decrease assets: credit Cash $900.
Journal Entry	see below
Posting	see below

Equation Analysis

Assets	**=**	**Liabilities**	**+**	**Owner's Equity**
Cash	=			Rent Expense
-900				-900

Journal Entry

Oct. 3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

Posting

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200		

Rent Expense			729
Oct. 3	900		

Illustration 2-22
Payment of monthly rent

Illustration 2-23
Payment for insurance

Transaction	On October 4, Pioneer pays $600 for a one-year insurance policy that will expire next year on September 30.
Basic Analysis	The asset Prepaid Insurance increases $600 because the payment extends to more than the current month; the asset Cash decreases $600. Payments of expenses that will benefit more than one accounting period are prepaid expenses or prepayments. When a company makes a payment, it debits an asset account in order to show the service or benefit that will be received in the future.
Equation Analysis	see equation below
Debit–Credit Analysis	Debits increase assets: debit Prepaid Insurance $600. Credits decrease assets: credit Cash $600.

Equation Analysis:

Assets			=	Liabilities	+	Owner's Equity
Cash	+	Prepaid Insurance				
-600		+600				

Journal Entry:

Oct. 4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			

Posting:

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600

Prepaid Insurance			130
Oct. 4	600		

Transaction	On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for $2,500.
Basic Analysis	The asset Supplies increases $2,500; the liability Accounts Payable increases $2,500.

Equation Analysis

Assets	=	**Liabilities**	+	**Owner's Equity**
Supplies	=	Accounts Payable		
+2,500		+2,500		

Debit–Credit Analysis

Debits increase assets: debit Supplies $2,500.
Credits increase liabilities: credit Accounts Payable $2,500.

Journal Entry

Oct. 5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			

Posting

Supplies		126	
Oct. 5	2,500		

Accounts Payable		201	
		Oct. 5	2,500

Illustration 2-24
Purchase of supplies on credit

The Recording Process Illustrated

Event	On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of $500 for a 5-day work week, payable every 2 weeks—first payment made on October 26.
Basic Analysis	A business transaction has not occurred. There is only an agreement between the employer and the employees to enter into a business transaction beginning on October 15. Thus, a debit–credit analysis is not needed because there is no accounting entry. (See transaction of October 26 for first entry.)

Illustration 2-25
Hiring of employees

Transaction	On October 20, C. R. Byrd withdraws $500 cash for personal use.
Basic Analysis	The owner's equity account Owner's Drawings increases $500; the asset Cash decreases $500.

Equation Analysis

Assets	=	**Liabilities**	+	**Owner's Equity**
Cash	=			Owner's Drawings
-500				-500

Debit–Credit Analysis	Debits increase drawings: debit Owner's Drawings $500. Credits decrease assets: credit Cash $500.

Journal Entry

Oct. 20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			

Posting

Cash 101			
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
		20	500

Owner's Drawings 306		
Oct. 20	500	

Illustration 2-26
Withdrawal of cash by owner

Transaction	On October 26, Pioneer owes employee salaries of $4,000 and pays them in cash. (See October 9 event.)
Basic Analysis	The expense account Salaries and Wages Expense increases $4,000; the asset Cash decreases $4,000.
Equation Analysis	
Debit–Credit Analysis	Debits increase expenses: debit Salaries and Wages Expense $4,000. Credits decrease assets: credit Cash $4,000.

Equation Analysis:

Assets	=	**Liabilities**	+	**Owner's Equity**
Cash	=			Salaries and Wages Expense
-4,000				-4,000

Journal Entry:

Oct. 26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			

Posting:

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
		20	500
		26	4,000

Salaries and Wages Expense			726
Oct. 26	4,000		

Illustration 2-27
Payment of salaries

Transaction	On October 31, Pioneer receives $10,000 in cash from Copa Company for advertising services performed in October.
Basic Analysis	The asset Cash increases $10,000; the revenue account Service Revenue increases $10,000.
Equation Analysis	**Assets** = **Liabilities** + **Owner's Equity** Cash = Service Revenue +10,000 +10,000
Debit–Credit Analysis	Debits increase assets: debit Cash $10,000. Credits increase revenues: credit Service Revenue $10,000.

Journal Entry

Oct. 31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

Posting

Cash			101
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
31	10,000	20	500
		26	4,000

Service Revenue			400
		Oct. 31	10,000

Illustration 2-28
Receipt of cash for services performed

Summary Journalizing and Posting

Illustration 2-29

GENERAL JOURNAL				PAGE J1
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
2017				
Oct. 1	Cash	101	10,000	
	Owner's Capital	301		10,000
	(Owner's investment of cash in business)			
1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			
2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox for future service)			
3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

GENERAL JOURNAL				PAGE J1
Date	**Account Titles and Explanation**	**Ref.**	**Debit**	**Credit**
4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective date October 1)			
5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			
20	Owner's Drawings	306	500	
	Cash	101		500
	(Withdrew cash for personal use)			
26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			
31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services performed)			

GENERAL LEDGER

Cash No. 101

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		15,200

Supplies No. 126

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1	2,500		2,500

Prepaid Insurance No. 130

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 4		J1	600		600

Equipment No. 157

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	5,000		5,000

Notes Payable No. 200

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		5,000	5,000

Accounts Payable No. 201

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1		2,500	2,500

Unearned Service Revenue No. 209

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 2		J1		1,200	1,200

Owner's Capital No. 301

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		10,000	10,000

Owner's Drawings No. 306

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 20		J1	500		500

Service Revenue No. 400

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 31		J1		10,000	10,000

Salaries and Wages Expense No. 726

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 26		J1	4,000		4,000

Rent Expense No. 729

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 3		J1	900		900

Illustration 2-30

DO IT! 3 Posting

Kate Brown recorded the following transactions in a general journal during the month of March. Post these entries to the Cash account.

Mar. 4	Cash	2,280	
	Service Revenue		2,280
Mar. 15	Salaries and Wages Expense	400	
	Cash		400
Mar. 19	Utilities Expense	92	
	Cash		92

Cash

3/1	600		

LEARNING OBJECTIVE 4

Prepare a trial balance.

PIONEER ADVERTISING
Trial Balance
October 31, 2017

	Debit	Credit
Cash	$ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		$ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Owner's Capital		10,000
Owner's Drawings	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	$28,700	**$28,700**

Illustration 2-31

Trial Balance

Limitations of a Trial Balance

Trial balance may balance even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.

ETHICS NOTE

An *error* is the result of an unintentional mistake; it is neither ethical nor unethical. An *irregularity* is an intentional misstatement, which *is* viewed as unethical.

Dollar Signs and Underlining

Dollar Signs

- Do not appear in journals or ledgers.
- Typically used only in the trial balance and the financial statements.
- Shown only for the first item in the column and for the total of that column.

Underlining

- A single line is placed under the column of figures to be added or subtracted.
- Totals are double-underlined.

Trial Balance

Question

A trial balance will not balance if:

a. a correct journal entry is posted twice.

b. the purchase of supplies on account is debited to Supplies and credited to Cash.

c. a \$100 cash drawing by the owner is debited to Owner's Drawing for \$1,000 and credited to Cash for \$100.

d. a \$450 payment on account is debited to Accounts Payable for \$45 and credited to Cash for \$45.

DO IT! 4 Trial Balance

The following accounts come from the ledger of SnowGo Company at December 31, 2017.

157	Equipment	$88,000	301	Owner's Capital	$20,000
306	Owner's Drawings	8,000	212	Salaries and Wages Payable	2,000
201	Accounts Payable	22,000	200	Notes Payable	19,000
726	Salaries and Wages Expense	42,000	732	Utilities Expense	3,000
112	Accounts Receivable	4,000	130	Prepaid Insurance	6,000
400	Service Revenue	95,000	101	Cash	7,000

Prepare a trial balance in good form.

DO IT! 4

Trial Balance

SNOWGO COMPANY
Trial Balance
December 31, 2017

	Debit	Credit